

Customer Relationship Management

Module 1 – Exam Notes

For CS Students | Simple & To-the-Point

1. Evolution of CRM

CRM did not appear overnight. It grew through several business eras:

Stage 1. Mass Marketing Era (pre-1960s) – One product pushed to all customers. No personalisation. Think of Coca-Cola ads targeting everyone equally.

Stage 2. Target Marketing Era (1960s–80s) – Businesses segment customers by age, income, location. Direct mail campaigns begin.

Stage 3. Relationship Marketing Era (1980s–90s) – Focus shifts from selling to keeping customers. Loyalty cards, after-sales service introduced.

Stage 4. CRM Era (1990s–2000s) – Software tools (databases, call centres) used to manage customer data systematically.

Stage 5. Social/Digital CRM (2000s–present) – Integration of social media, mobile apps, AI-driven personalisation (e.g., Amazon “You may also like...”).

Example: A small bookshop first advertised in newspapers (mass marketing). Later it emailed loyalty-card holders (target marketing). Today it uses a CRM system to remind a customer when a favourite author releases a new book (relationship marketing).

2. CRM – Definition

Simple definition: CRM is a *strategy + technology* used by companies to manage all interactions with current and potential customers, with the goal of improving relationships and increasing profitability.

Key phrase to memorise: “Right customer, right message, right time.”

Component	What it means
Strategy	Business philosophy of putting customer first
Process	Steps to acquire, retain, and grow customers
Technology	Software (databases, analytics tools, apps)
People	Employees trained to use CRM systems

Example: Zomato stores your past orders, preferred cuisines, and addresses. When you open the app, it shows relevant restaurants. That personalisation is CRM in action.

3. Emergence of CRM Practice

CRM emerged because of a shift in business thinking – from **product-centric** to **customer-centric**.

Key milestones:

- **1980s:** Database marketing begins – companies store customer contact info.

- **Early 1990s:** Sales Force Automation (SFA) tools automate sales pipelines.
- **Mid-1990s:** Term “CRM” coined; first dedicated CRM software released (Siebel Systems, 1993).
- **Late 1990s:** Internet allows web-based customer service (email support, FAQs).
- **2000s:** Cloud-based CRM (Salesforce.com launched in 1999) makes CRM affordable for small businesses.

Example: Before CRM, a bank manager knew every customer personally. As banks grew, that was impossible. Siebel CRM replaced the manager’s memory with a software database – every teller could see a customer’s full history instantly.

4. Factors Responsible for CRM Growth

1. **Increased Competition:** More choices for customers means companies must work harder to retain them.
2. **Customer Awareness:** Educated customers compare prices and reviews online; companies must offer better experiences.
3. **Technology Advancement:** Databases, internet, AI make it feasible to store and analyse millions of customer records.
4. **High Customer Acquisition Cost:** It costs 5–7× more to acquire a new customer than retain an existing one.
5. **Globalisation:** Businesses operate across geographies; CRM provides a unified view of worldwide customers.
6. **Data Availability:** E-commerce, social media generate massive customer data ready to be used.

Example: When Jio entered India’s telecom market, it forced Airtel to use CRM strategies more aggressively – proactive retention calls, personalised data plans – to prevent customers from switching.

5. CRM Process

The CRM process follows a cycle of four steps:

Identify → Differentiate → Interact → Customise

- Step 1. Identify Customers:** Know who your customers are (demographics, buying habits).
- Step 2. Differentiate Customers:** Classify by value – high-value vs. low-value; different needs.
- Step 3. Interact with Customers:** Engage through calls, email, social media, loyalty programmes.
- Step 4. Customise Offerings:** Tailor products/services/communication to each customer segment.

Example (CS analogy): Think of CRM process like a CRUD operation:

- **Create** – Identify and onboard new customers.
- **Read** – Analyse customer data to understand behaviour.
- **Update** – Interact and update customer preferences.
- **Delete (Churn prevention)** – Take action before a customer leaves.

6. Framework of CRM

A CRM framework has three layers:

Layer	Description
Operational CRM	Day-to-day customer-facing operations: sales automation, marketing automation, service automation
Analytical CRM	Analysis of customer data to support decision-making (data mining, reporting)
Collaborative CRM	Sharing customer info across departments (sales, marketing, support) and with partners

Example: In Flipkart –

- **Operational:** Order placement, customer support chat.
- **Analytical:** Finding which products are bought together (association rules).
- **Collaborative:** Delivery partners (Ekart) get shipment data from Flipkart's system.

7. Benefits of CRM

For the Company:

- Increased sales through better targeting.
- Reduced marketing costs (target right people, not everyone).
- Higher customer retention and loyalty.
- Better cross-selling and up-selling opportunities.

For the Customer:

- Personalised experience.
- Faster issue resolution.
- Relevant offers and recommendations.

Example: Amazon's CRM tracks browsing history. When you view a laptop, it suggests a laptop bag next (up-selling). This is a benefit of CRM that increases the company's revenue while helping the customer find relevant products.

8. Types of CRM

Type	Focus	Example Tool
Operational	Automate sales, marketing, support	Salesforce, Zoho
Analytical	Mine data, generate insights	SAP CRM Analytics
Collaborative	Share info across teams/partners	Microsoft Dynamics
Strategic	Long-term customer relationship planning	HubSpot
Campaign Mgmt	Plan and track marketing campaigns	Marketo, Mailchimp

How to describe in exam: “Operational CRM automates front-office functions. Analytical CRM uses data warehousing and mining to extract insights. Collaborative CRM ensures all departments share the same customer view.”

9. Scope of CRM

CRM covers a wide range of business functions:

- **Sales Management:** Lead tracking, opportunity management, sales forecasting.
- **Marketing Management:** Campaign planning, customer segmentation, personalisation.
- **Customer Service:** Helpdesk ticketing, complaint resolution, SLA tracking.
- **E-Commerce:** Online behaviour tracking, cart abandonment recovery.
- **Social Media:** Sentiment analysis, social listening, engagement tracking.
- **Partner Management:** Managing distributors, resellers, affiliates.

Example: A telecom company like Airtel uses CRM across its entire scope – sales agents use it to track new SIM activations, support staff use it to handle complaints, marketing uses it to send personalised recharge offers.

10. Customer Profitability

Definition: The profit a company earns from a specific customer after subtracting the costs of serving that customer.

$$\text{Customer Profit} = \text{Revenue from Customer} - \text{Cost to Serve Customer}$$

Customer Lifetime Value (CLV): Total profit expected from a customer over their entire relationship with the company.

$$\text{CLV} = \text{Average Purchase Value} \times \text{Purchase Frequency} \times \text{Customer Lifespan}$$

80/20 Rule (Pareto Principle): Typically 20% of customers generate 80% of profits. CRM helps identify these high-value customers.

Example: A bank's premium savings account holder (deposits Rs. 10 lakhs, never calls support) is highly profitable. A basic account holder (deposits Rs. 1000, calls support weekly) may actually cost the bank money. CRM helps identify and focus on the first type.

11. Features and Trends in CRM

Core Features of a CRM System:

- Contact Management – centralised database of customer info.
- Sales Pipeline Tracking – stages from lead to deal closure.
- Task & Calendar Management – follow-up reminders.
- Reporting & Analytics – dashboards showing KPIs.
- Email Integration – log all email interactions.

Current Trends:

1. **AI-Powered CRM:** Predictive lead scoring, chatbots (e.g., Salesforce Einstein AI).
2. **Mobile CRM:** Sales reps access data on smartphones.
3. **Social CRM:** Monitor Twitter/Facebook for brand mentions.
4. **Cloud CRM:** SaaS-based CRM (no on-premise servers needed).
5. **IoT Integration:** Smart devices sending real-time customer data to CRM.

Example: Swiggy uses AI-powered CRM to predict what you will order next Friday evening based on past patterns and sends you a discount coupon on that item beforehand.

12. CRM and Cost–Benefit Analysis

Costs of CRM Implementation:

- Software licensing / subscription fees.
- Hardware and infrastructure (for on-premise CRM).
- Employee training costs.
- Data migration and integration costs.
- Ongoing maintenance.

Benefits (Measurable):

- Increased revenue (better cross-selling).
- Reduced customer churn (higher retention rate).
- Lower marketing spend (targeted campaigns).
- Faster sales cycles (automated follow-ups).

ROI Formula:

$$\text{ROI} = \frac{\text{Net Benefit}}{\text{Cost of CRM}} \times 100\%$$

Example: A company spends Rs. 5 lakhs/year on CRM software. As a result, it retains 100 more customers who each generate Rs. 8000 profit annually = Rs. 8 lakhs additional profit. Net benefit = Rs. 3 lakhs. ROI = 60%.

13. CRM and Relationship Marketing

Relationship Marketing: A marketing strategy focused on building long-term relationships with customers rather than just making a single sale.

How CRM enables Relationship Marketing:

Relationship Marketing Goal	CRM Tool/Feature
Know the customer deeply	Customer profile database
Stay in touch regularly	Email automation, reminders
Reward loyalty	Loyalty programme management
Resolve issues quickly	Ticketing and SLA tracking
Personalise communication	Segmentation and campaign tools

Key Difference:

Transaction Marketing	Relationship Marketing (via CRM)
Focus on single sale	Focus on lifetime customer value
Short-term orientation	Long-term orientation
Mass communication	Personalised communication

Example: A traditional shop runs a “Diwali Sale” ad in the newspaper (transaction marketing – one-time push). A CRM-powered retailer like BigBasket sends you a personalised Diwali offer based on your past purchases (relationship marketing – ongoing personalised engagement).

Quick Revision – Key Terms

Term	One-liner
CRM	Strategy + Technology to manage customer relationships
Operational CRM	Automates sales, marketing, support
Analytical CRM	Mines data for insights and decisions
Collaborative CRM	Shares customer info across all departments
CLV	Total profit from a customer over their lifetime
Pareto Principle	20% customers generate 80% profits
SFA	Sales Force Automation – automates sales pipeline
Relationship Marketing	Strategy to build long-term customer bonds
Churn	When a customer stops doing business with you
ROI of CRM	$\text{Net Benefit} / \text{Cost of CRM} \times 100$

End of Module 1 Notes – Good Luck with your Exam!